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China Mobile Limited | Asia Pacific

2Q25 results – interim dividend was stable

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

— In-line

Financial results versus consensus

— Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Service revenue was down 4.8% YoY, to Rmb232.8bn; adjusted EBITDA was down 7.9% YoY, to Rmb97bn.
- Net profit was down 7.5%, to Rmb49.6bn; without VAT impact, net profit growth would have been positive in 1H26.
- Capex was up 4.5% YoY in 1H26, mainly because of front loaded computing capex (+71% YoY). However, full-year capex remains under control.
- Interim dividend was up 0.3% YoY, to Rmb2.51 per share, or up 5.5% YoY, to HK \$2.9003 per share, implying a payout ratio of 69%.
- For the full year, CM is committed to stable revenue growth, coordinated profit growth on a comparable basis, and a stable to rising payout ratio.

Exhibit 1: CM 2Q25 result summary

Rmb mn	2Q25	1Q26	2Q26 Actual	% YoY	% QoQ
Service revenue	244,615	219,853	232,810	-4.8%	5.9%
Total operating expenses	174,740	189,819	174,590	-0.1%	-8.0%
EBITDA	105,269	76,659	96,967	-7.9%	26.5%
% margin	37.6%	28.8%	35.7%	-188.7%	694.0%
% margin on service revenue	43.0%	34.9%	41.7%	-138.4%	678.2%
Profit from operations	57,775	28,974	49,282	-14.7%	70.1%
% margin	20.6%	10.9%	18.1%	-248.5%	727.5%
Profit after taxation	53,604	29,342	49,592	-7.5%	69.0%
% margin	19.1%	11.0%	18.3%	-88.2%	725.1%

Source: Company data, Morgan Stanley Research.

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Asia Summer School 2026

China Mobile Limited (0941.HK, 941 HK)

Greater China Telecoms | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	HK\$80.00
Up/downside to price target (%)	(1)
Shr price, close (Aug 13, 2026)	HK\$81.20
52-Week Range	HK\$90.60-75.55
Sh out, dil, curr (mn)	20,444
Mkt cap, curr (mn)	US\$224,496
EV, curr (mn)	US\$178,934
Avg daily trading value (mn)	US\$214

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
ModelWare EPS (Rmb)	6.42	6.09	6.33	6.74
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)**	6.30	5.98	6.22	6.62
EPS (Rmb)\$	6.61	6.30	6.50	6.60
Revenue, net (Rmb bn)	1,050.2	1,048.1	1,064.6	1,081.9
EBITDA (Rmb bn)	306.5	296.4	299.4	307.5
ModelWare net inc (Rmb bn)	137.1	130.0	135.2	144.0
P/E	11.4	11.5	11.0	10.3
P/BV	1.1	1.0	1.0	1.0
EV/EBITDA	4.2	4.0	3.8	3.5
Div yld (%)	7.2	7.6	8.0	8.9
FCF yld ratio (%)	(1.4)	8.8	11.0	11.0
RNOA (%)	10.8	9.4	9.8	10.7
ROE (%)	9.8	9.1	9.3	9.7
Net debt/EBITDA	(0.3)	(0.4)	(0.5)	(0.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

China Mobile Limited (0941.HK)

Base case scenario value, derived from a DCF model, in which we assume a WACC of 10.3% and terminal growth rate of 2%. We apply a 50% discount to net cash.

Risks to Upside

- Faster-than-expected 5G adoption
- Less-than-expected capex
- Faster-than-expected improvement in competition
- Less-than-expected opex related to 5G

Risks to Downside

- Higher-than-expected 5G capex
- Regulatory intervention on 5G pricing
- Competition that intensifies again
- More conservative dividend policy

China Mobile Limited (600941.SS)

CM-A and CM-H have identical asset structures. Our price target is derived from our price target for CM-H, with a 30% A-H premium applied, in line with the Hang Seng China AH Premium Index's average over the past three years.

Risks to Upside

- Faster-than-expected 5G adoption
- Less-than-expected capex
- Faster-than-expected easing in competition
- Less-than-expected opex related to 5G
- A-H premium expansion

Risks to Downside

- Higher-than-expected 5G capex
- Regulatory intervention on 5G pricing
- Competition that intensifies again
- More conservative dividend policy
- A-H premium compression

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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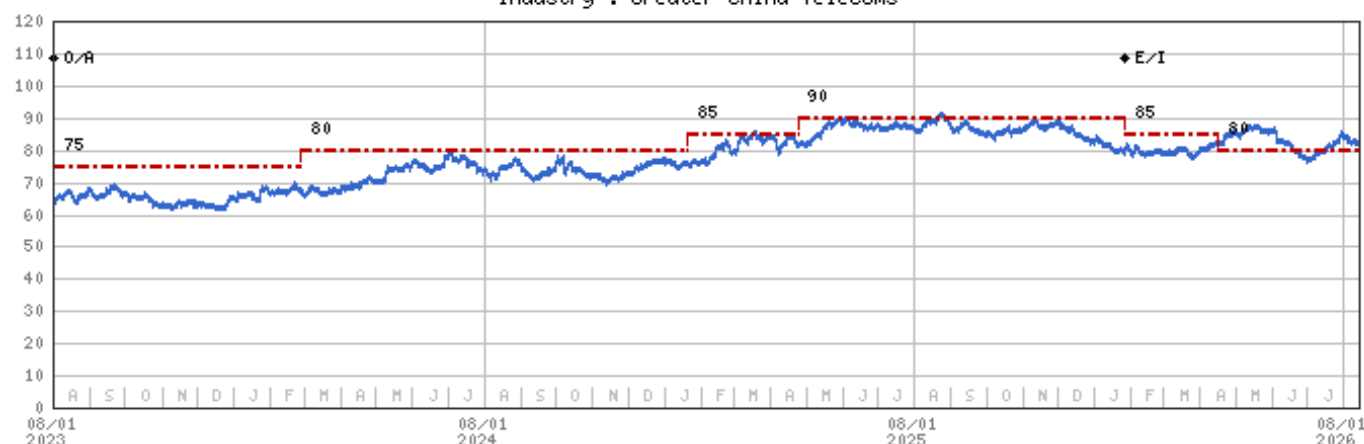
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Stock Price, Price Target and Rating History (See Rating Definitions)

China Mobile Limited (0941.HK) - As of 08/13/26 GMT in HKD
Industry : Greater China Telecoms



Stock Rating History: 8/1/21 : O/A; 1/27/26 : E/I

Price Target History: 1/18/21 : 65; 3/2/22 : 70; 9/13/22 : 65; 2/27/23 : 70; 3/24/23 : 75; 2/27/24 : 80; 1/21/25 : 85; 4/24/25 : 90; 1/27/26 : 85; 4/16/26 : 80

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

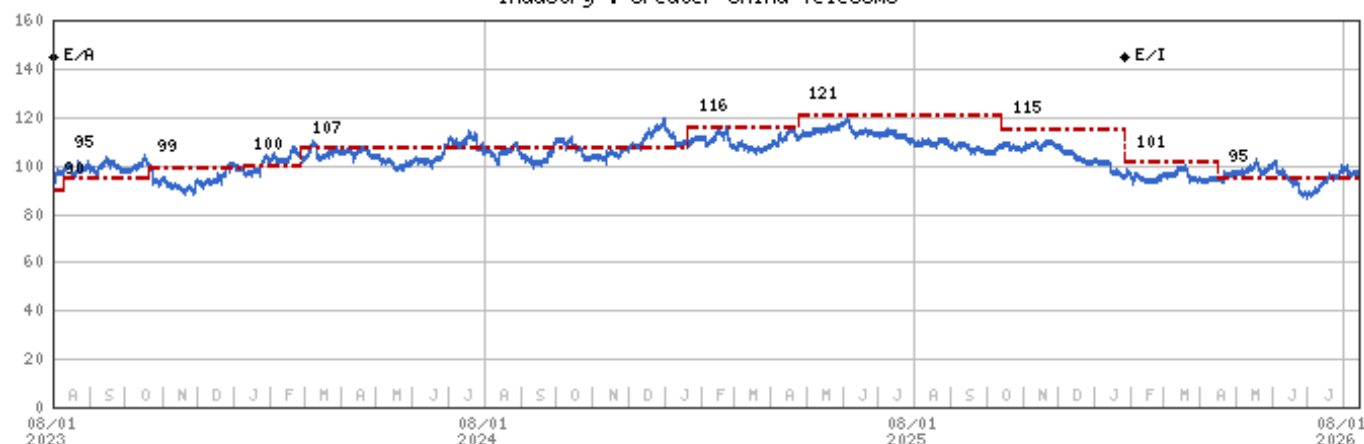
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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China Mobile Limited (600941.SS) - As of 08/13/26 GMT in CNY
Industry : Greater China Telecoms



Stock Rating History: 7/6/23 : E/A; 1/27/26 : E/I

Price Target History: 7/6/23 : 90; 8/10/23 : 95; 10/20/23 : 99; 1/9/24 : 100; 2/27/24 : 107; 1/21/25 : 116; 4/24/25 : 121; 10/14/25 : 115; 1/27/26 : 101; 4/16/26 : 95

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Greater China Telecoms

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/13/2026)
Gary Yu China Mobile Limited (0941.HK)	E (01/27/2026)	HK\$81.20

China Mobile Limited (600941.SS)	E (07/06/2023)	Rmb96.11
China Telecom (601728.SS)	E (07/06/2023)	Rmb6.43
China Telecom (0728.HK)	E (01/27/2026)	HK\$4.54
China Tower Corp Ltd (0788.HK)	O (01/21/2025)	HK\$9.32
China Unicom (0762.HK)	E (01/27/2026)	HK\$6.27
China United Network Communications (600050.SS)	U (10/30/2016)	Rmb4.30
Tom Tang		
China Communication Service Co Ltd (0552.HK)	E (11/12/2024)	HK\$4.06
Chunghwa Telecom (2412.TW)	E (04/29/2025)	NT\$136.00
Far Eastone (4904.TW)	O (10/16/2024)	NT\$99.50
HKBN Ltd (1310.HK)	E (10/20/2025)	HK\$6.02
HKT Trust and HKT Ltd. (6823.HK)	O (12/11/2020)	HK\$12.43
PCCW Ltd (0008.HK)	E (09/07/2023)	HK\$5.36
SUNeVision Holdings Limited (1686.HK)	O (08/03/2020)	HK\$5.00
Taiwan Mobile (3045.TW)	E (01/27/2026)	NT\$108.50
VNET Group Inc (VNET.O)	O (10/04/2017)	US\$7.43
Yang Liu		
GDS Holdings Ltd (GDS.O)	++	US\$32.74

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* Historical prices are not split adjusted.